



Navigating your credit journey

A guide to understanding
credit and credit scores



Credit plays an important role in everything from loan interest rates to obtaining credit cards and more. Use this guide to understand:



Contents

- 3** What is credit?
- 4** Where does your credit data come from?
- 5** How is your credit data reported?
- 6** What is a credit score?
- 7** Why are credit scores important?
- 8** What is considered a good credit score?
- 9** How is your credit score calculated?
- 11** What is ***not*** used to calculate your credit scores?



Because credit is a significant part of your financial well-being, it's important to understand how it's used in day-to-day life and what could possibly impact it.

What is credit?

Credit is the ability to borrow money or obtain something of value with an understanding that you'll repay the lender at a later date, usually with interest. Whether you're dreaming of owning a home, buying a car, or if you just need a personal loan, your credit can help determine the interest rates you'll be offered. Having a strong credit history isn't just a nice-to-have; it's a fundamental pillar of financial well-being that impacts nearly every major financial decision you'll make.





Where does your credit data come from?

Banks, credit card companies, mortgage and auto lenders, debt collectors, some landlords, and other companies you have a relationship with, send credit and account data to Nationwide Consumer Reporting Agencies (also known as “credit bureaus” — or simply “bureaus”) like Equifax. They send this data on a regular schedule — often daily, weekly, or monthly.

Equifax is committed to helping people live their financial best.

You can find additional resources at [equifax.com/learn](https://www.equifax.com/learn)





How is your credit data reported?

We receive, compile, and standardize the data provided by these companies. Equifax also obtains public information about bankruptcies. This information becomes the basis of your credit report. Your credit report shows things like your personal information, your loans and credit cards, whether you pay your bills on time, and who has looked at your report. It helps lenders decide if you're a good risk for new loans or credit.

It's important to remember that we receive and compile the data from lenders and other contributors. Information may vary from bureau-to-bureau because data contributors may not send information at the same time — or at all — to certain bureaus. Who can see your credit report is closely regulated. Federal and state laws, including the Fair Credit Reporting Act (FCRA), have defined the reasons for which your credit report can be viewed, and who can view it. This is called “permissible purpose” and means your data can only be accessed for specific reasons. It exists to help protect your privacy and ensure your information is only used for approved reasons.





What is a credit score?

In addition to credit reports, credit scores help lenders predict how likely you are to pay back a loan on time. They are calculated using information in your credit reports. A credit score is a three-digit number, typically between 300 and 850, designed to represent your credit risk or the likelihood you will pay your bills on time. Creditors and lenders consider your credit scores as one factor when deciding whether to approve you for a new account. Your credit scores may also impact the interest rate and other terms on loans or other credit accounts.



Know your rights

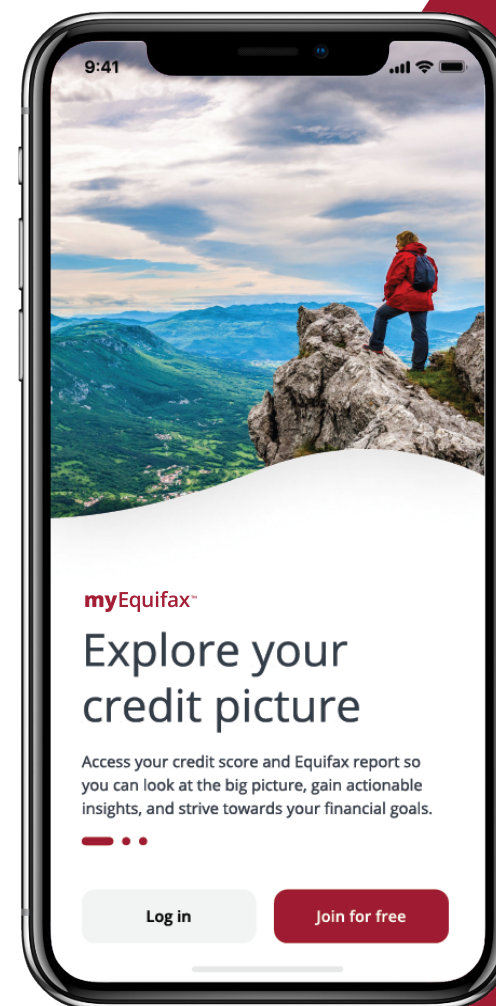
You have several important rights regarding your credit reports under the FCRA. These rights include the ability to access individual credit reports and dispute inaccurate information. You can get a free copy of your credit report from each of the three nationwide credit reporting agencies (Equifax, Experian, and TransUnion) weekly at annualcreditreport.com. For more information, visit the Federal Trade Commission's [credit and debt site](https://www.ftc.gov/credit).



Why are credit scores important?

In addition to lower interest rates on loans, landlords and property management companies may check your credit scores to determine your likelihood of paying rent on time. With good credit, utility providers are more likely to turn on your utilities without a significant security deposit, and insurance providers may lower the premiums you pay for various types of coverage (most notably, auto and homeowners).

The point is credit scores are involved in multiple aspects of your life. Understanding how they work and where you may have opportunities to improve can be beneficial.



Navigate your credit journey with the myEquifax™ app

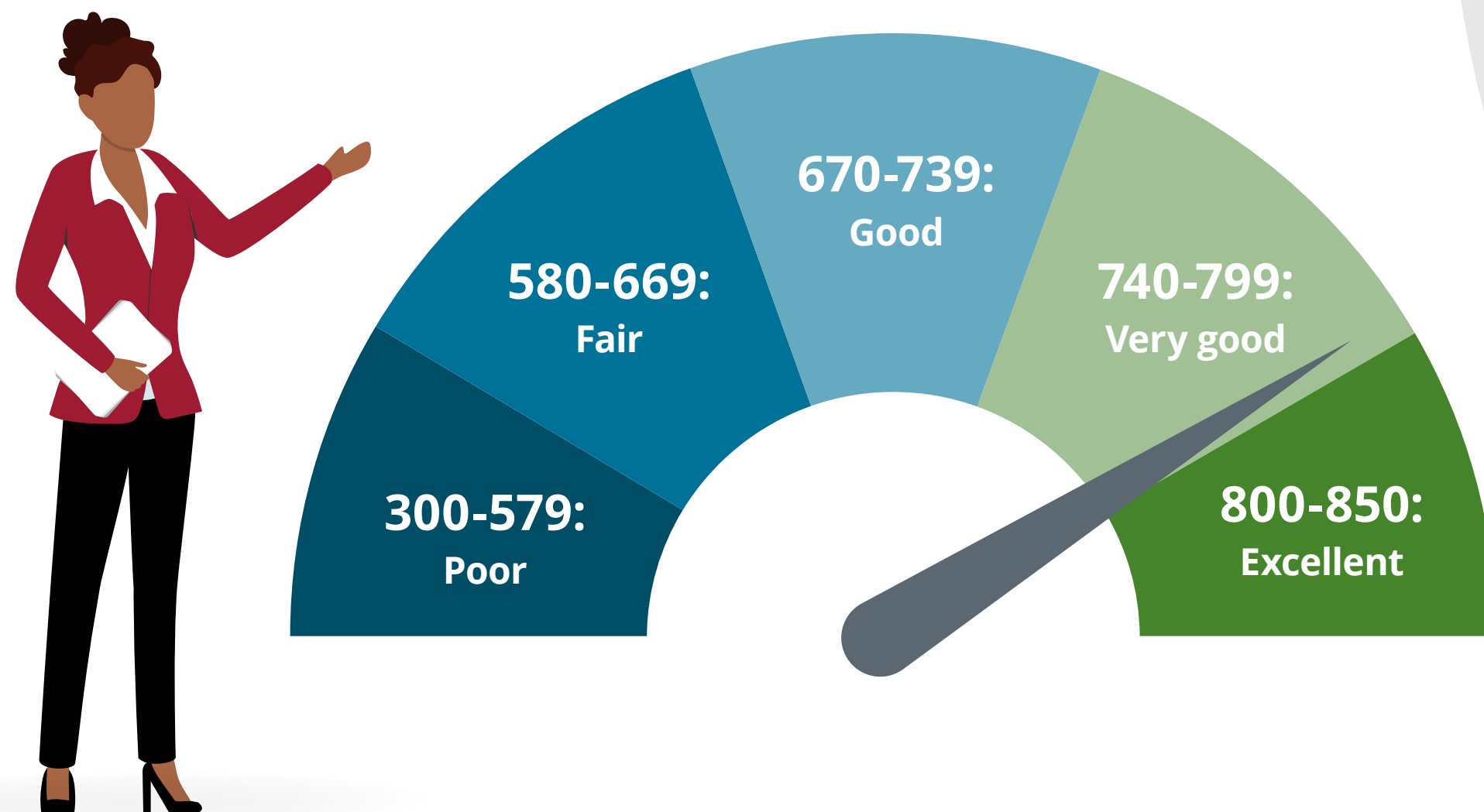
The myEquifax app offers a convenient way to monitor your financial health from your mobile devices. You can view your Equifax credit report and set a credit score goal. Download the app via the Apple App Store or Google Play today.





What is considered a good credit score?

Credit score ranges vary based on the scoring model used to calculate them, but they are generally similar to the following:



There's no "magic number" that guarantees you'll be approved for a new credit account or receive a particular interest rate from a lender. However, higher scores typically suggest that you have demonstrated responsible credit behavior in the past. This may help potential lenders and creditors feel more confident when evaluating a new request for credit.

For more information on how to access and monitor your credit report and/or credit score from Equifax, visit [equifax.com](https://www.equifax.com).



How is your credit score calculated?

The information on your credit report is used to calculate your credit score. Credit scores are generated using sophisticated models and algorithms that are often designed by third-party scoring companies.

There are many different credit scores and each is calculated differently. In general, however, there are six important factors in the most commonly used credit scores.



3

Your credit mix (the types of credit accounts in your name) **and age**

Some formulas consider the types of credit accounts you have. It's usually a good idea to keep a mix of both revolving and installment accounts. This helps in showing lenders and creditors you're comfortable managing different types of credit. Plus, the overall length of your credit history can impact your score. The age of both your oldest and your newest credit accounts may be considered. Having long-term, established accounts and a mix of credit such as mortgage, student loans, and credit cards can be beneficial.

2

The amount of credit used versus your total available credit (also known as your credit utilization rate or your debt-to-credit ratio)

Expressed as a percentage, your credit utilization rate represents the amount of revolving credit you're using divided by the total revolving credit available to you. (Revolving credit accounts are things like credit cards, while mortgages and other fixed loans are considered installment accounts.) Lenders and creditors generally like to see a credit utilization rate of 30% or lower.

1

Your payment history

This is typically the most significant factor used in calculating your credit score. Your payment history includes information on open credit accounts in your name. It also provides data on missed or late payments, bankruptcy filings and debt collection. It's important to pay your bills on time, every time.



4

The amount you owe

This refers to the amount of recently reported balances on your credit accounts. It's typically best to pay off all your balances on a monthly basis, if possible, to keep the amount you owe low and show lenders that you are able to make on-time payments.

5

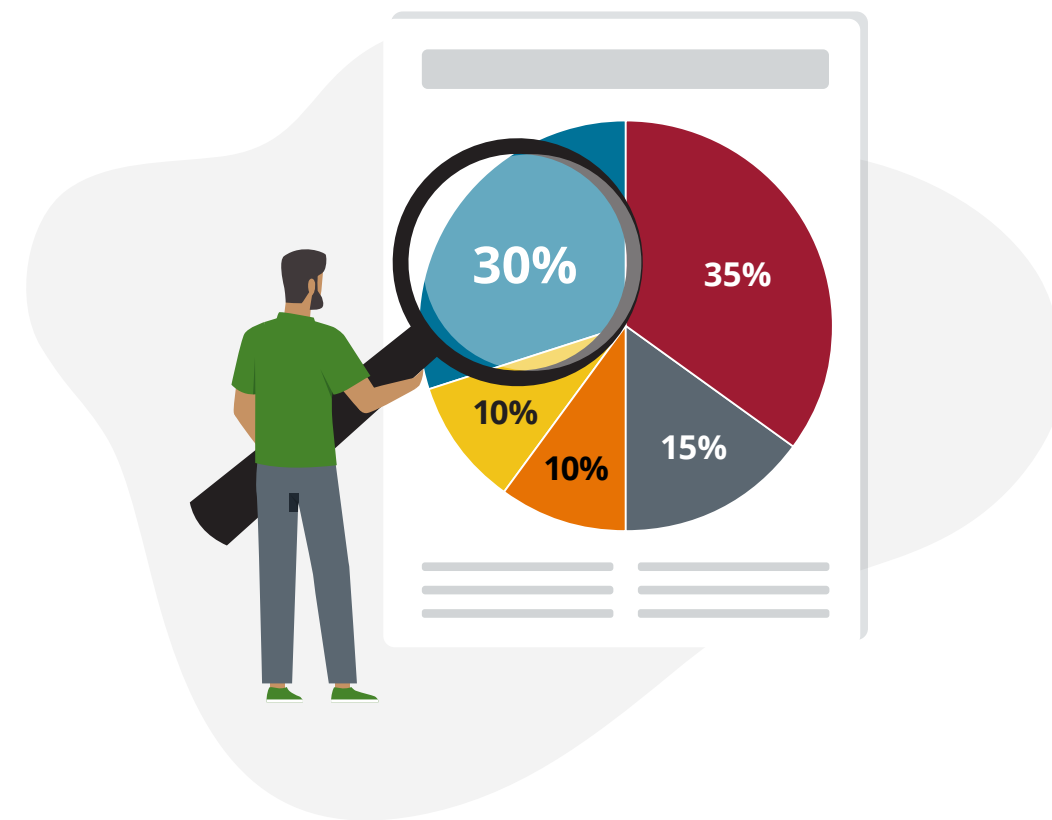
Your credit behavior, such as the number of recent requests for credit you've made

Recent behavior may include credit inquiries, an application for a new credit card or taking out a personal loan, all of which can shine a light on your credit behavior. Applying for a new line of credit triggers what's known as a "hard inquiry" on your credit report. Numerous hard inquiries within a short period of time can negatively impact your credit score as it may suggest to lenders that you're taking on more debt than you can reasonably expect to pay back. It's a good idea to only apply for new credit when you need it. Credit score calculations generally don't consider "soft inquiries," which are requests to check your credit report that are not tied to an actual credit application (for example, when you receive a pre-qualified credit card offer). Checking your own credit score will not impact your credit score or credit history.

6

Your available credit (how much credit you have that you are not using)

This is used as part of your credit score because lenders may want to see that you are only using the credit that you need. If you have a number of credit accounts that are "maxed out" or at their limit, it may negatively impact your credit scores.





What is ***not*** used to calculate your credit scores?

Here's a breakdown of what credit scoring models generally do not use in their calculations:



Your race, color, religion, national origin, sex, and marital status

U.S. law prohibits credit scoring from considering these facts, as well as any receipt of public assistance, or the exercise of any consumer right under the Consumer Credit Protection Act.



Your salary, occupation, title, employer, date employed, or employment history

Lenders may look at your income and employment stability, however, when deciding whether to approve you for a loan.



Any items reported as child/family support obligations

Child support and family support accounts are bypassed by most credit scoring companies.





What is *not* used to calculate your credit scores? (cont'd)

Certain types of inquiries (requests for your credit report)

Your scores do not count requests you have made for your credit report in order to check it. They also do not count requests made by lenders in order to make you a pre-approved credit offer or requests made by lenders to review your account with them. Requests marked as coming from employers are not counted either. While hard inquiries affect credit scores, these soft inquiries do not.

Non-bankruptcy public records

Bankruptcy public records are the only public records that appear on credit reports, and therefore the only public records that impact most scores. Tax liens, civil judgments, and any other non-bankruptcy public records no longer appear on credit reports and therefore do not impact scores.

Whether or not you are participating in credit counseling of any kind

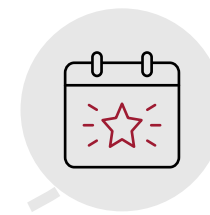
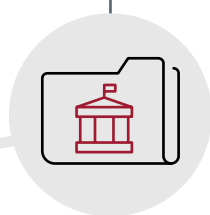
Any interest rate being charged on a particular credit card or other account

Any information not found in your credit report

Your age

Where you live

Any information that is not proven to be predictive of future credit performance



Credit score key points



A credit score is a three-digit number that generally represents the likelihood you will pay your bills on time



There are many different types of credit scores and scoring models

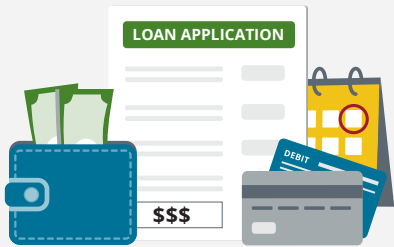


Higher credit scores typically result in more favorable credit terms



It's important to understand how your actions may or may not impact your credit scores

What can impact your credit score



What typically does not hurt your credit score	What could hurt your credit score
1. Paying with a debit card 2. A drop in salary 3. Getting married 4. Getting divorced 5. Having a credit application denied 6. Having high account interest rates 7. Getting help from a credit counselor	1. Making a late payment 2. Applying for a lot of credit at once 3. Having a high debt-to-credit utilization ratio 4. Closing a credit card account 5. Stopping your credit-related activities for an extended period

View the detailed list

For more
information about
accessing your credit
reports, improving
your credit scores,
and other financial
health tips, visit
equifax.com/learn.



What can impact your credit score

It's important to be mindful of the actions that may play a role in impacting your credit score.



What typically does not hurt your credit score	What could hurt your credit score
The following items generally won't have any effect on credit scores: 1. Paying with a debit card Using a debit card, rather than a credit card, to pay for items typically won't impact your credit history or credit scores. 2. A drop in salary A salary cut may affect your personal and financial life, but won't directly affect your credit scores. 3. Getting married Your marital status is not a factor used in calculating credit scores. If you get married, you'll still have your own credit reports, and so will your spouse. That said, if you and your spouse open joint credit accounts, they will appear on both of your credit reports. 4. Getting divorced Filing for divorce doesn't directly impact credit scores, but if you have late or missed payments on accounts as a result, it may negatively impact credit scores. 5. Having a credit application denied A denial of a credit application won't affect credit scores, but the application itself may result in a hard inquiry, which can negatively impact credit scores. 6. Having high account interest rates Interest rates and annual percentage rates (APRs) on your credit accounts aren't factors used to calculate credit scores, but late or missed payments on those accounts can hurt your credit scores. 7. Getting help from a credit counselor There are many credit scoring models, and they generally don't consider whether you are participating in a credit counseling service. But actions you take as a result of the counseling can impact credit scores — for better or for worse. Regularly checking your U.S. credit reports is one way to keep track of your data and know what information is being reported by your lenders and creditors — and potentially factored into your credit scores.	Here are some things that typically have a negative impact on your credit score: 1. Making a late payment Your payment history on loan and credit accounts can play a prominent role in calculating credit scores. Even one late payment can result in a credit score decrease, depending on the scoring model used. 2. Applying for a lot of credit at once When a lender or creditor accesses your credit reports in response to an application for credit, it results in a "hard inquiry." Applying for multiple credit accounts in a short time can generate a hard inquiry for each application and may negatively impact credit scores. Ultimately, this may cause lenders to view you as a higher-risk borrower in this scenario. 3. Having a high debt-to-credit utilization ratio Your debt-to-credit utilization ratio is another factor used to calculate your credit scores. That ratio is how much of your available credit you're using compared to the total amount available to you. Lenders and creditors generally prefer to see a lower debt-to-credit ratio. 4. Closing a credit card account It may be tempting to close a credit card account that's paid in full, but doing so may affect your credit scores. Besides impacting your debt-to-credit utilization ratio, closing the credit card account may also affect the mix of credit accounts on your credit reports. In general, lenders and creditors like to see that you've been able to properly handle different types of credit accounts over a period of time. Closing a credit card account you've had for a while could also shorten the length of your credit history, which can have a negative impact. 5. Stopping your credit-related activities for an extended period If you haven't used your credit accounts for months, and your lenders and creditors have reported no new information to credit bureaus, it can be more difficult for lenders and creditors to evaluate your application for credit or services.